Rheinmetall AG (RHM GY): Ad-hoc analysis

Oct 15, 2026 · @mama · Not on focus list

Bottom line

Rheinmetall is a structural winner of European rearmament, but the debate has moved from demand to delivery. After a ~38% de-rating since end-2025, the stock no longer prices "unlimited demand". It now prices strong execution.

Buying and holding the stock implies two convictions:

1. **Execution:** management converts a record backlog into cash on schedule.
2. **Geopolitics:** the war in Ukraine does not end in the near term.

If either assumption weakens, the risk/reward deteriorates quickly. European defence budgets are structural and would survive a ceasefire, but the stock trades on urgency. Mere peace headlines have repeatedly triggered −5% sessions, and a credible deal would likely compress multiples sharply, even with the backlog intact.

1. Business overview

Europe's largest land-systems and ammunition supplier, active across vehicles, weapons & ammunition, digital systems, air defence and, since 2026, naval. It is vertically integrated in 155mm ammunition and propellants. The backlog is ~60% Germany and ~40% international.

2. What an investor needs to believe

Conviction 1: execution

- **Backlog conversion.** The €80.4bn backlog (end-June 2026; 70% firm vs 58% a year earlier) is ~~5.8x FY26 sales guidance (€13.7–14.2bn). Its value lies in conversion, not order intake. The 2030 target (~~€50bn sales, >20% margin) implies ~30% CAGR with a backloaded 2028–29 delivery profile, leaving little room for slippage.
- **Cash turnaround.** H1 operating FCF was −€1.6bn, driven by inventory build and delayed down payments. The balance sheet has tightened: equity ratio of 28% and net financial position of −€2.7bn at end-June. An investor must believe inventory unwinds in H2 and the Arminius down payment (>€3bn) arrives on time.

- **Arminius on schedule.** Germany's large Boxer wheeled armoured vehicle programme, with an initial package worth ~€14.4–14.5bn to Rheinmetall via the 50/50 Artec JV with KNDS Deutschland; follow-on phases remain unfunded. The Bundestag vote is expected on Dec 9, with signing 5–10 days later and a down payment of over €3bn. A slip into 2027 would hit both FY26 cash conversion (consensus effectively assumes the down payment lands in December) and backlog optics (management targets €100–120bn by year-end).
- **Supply chain.** Mass production leaves no room for single-component bottlenecks, which can delay entire platforms and trap cash in inventory.

Conviction 2: no near-term end to the war in Ukraine

- The European defence re-rating has been driven both by budget commitments and by a sense of urgency. Budgets would likely survive a ceasefire, since NATO spending targets are structural. Urgency and multiples would not: a credible peace process would likely trigger a sharp sector de-rating, regardless of fundamentals.
- Weapon & Ammunition, the highest-margin segment (25.8% in Q2), is the most exposed to a normalisation of consumption-driven demand.

3. Supporting fundamentals

- **Operating leverage.** Q2 2026 sales grew 69% to €3.29bn and the operating result rose 115% to €562m (17.1% margin). FY26 margin is guided at ~19%.
- **Arminius (Boxer).** The initial package is worth ~€25bn, split 50/50 with KNDS Deutschland via Artec. Rheinmetall's share is ~€14.4–14.5bn (€12.4bn for vehicles plus ~€2bn for services). Follow-on phases remain unfunded.
- **U.S. footprint.** Being built via Loc Performance and the XM30 / Common Tactical Truck programmes. *Open question: verify current status and contract values.*

4. Competitive advantages

- **Vertical integration in energetics.** In-house production of nitrocellulose and propellants insulates Rheinmetall from supply shocks that constrain smaller competitors.
- **Sovereign footprint.** Production in Germany and frontline NATO states, where governments prioritise local content and delivery speed over price.

5. Valuation context

Market cap is down ~38% from end-2025 (€44.7bn vs €71.6bn), and P/E has compressed from 70x to 28x 2026e. On the surface the multiples look undemanding: P/E falls to 13.6x by 2028e and the PEG is 0.5x.

Rheinmetall: consensus multiples, current scope

Metric	2025	2026e	2027e	2028e
P/E	70.0x	28.0x	18.9x	13.6x
EV/EBITDA	32.6x	13.5x	9.4x	6.7x
EV/EBIT	42.3x	16.8x	11.5x	8.1x
FCF yield	2.0%	6.9%	4.2%	6.8%

But this rests on consensus EPS growth of ~45–50% in 2027 and ~40% in 2028, which is precisely the execution bet.

FCF is the weak link. The 2026e FCF yield of 6.9% implies ~€3bn of FCF, broadly equal to the expected Arminius down payment, after an H1 outflow of €1.6bn. Likewise, EV below market cap implies a year-end net cash position of ~€1.8bn, versus net debt of €2.7bn at end-June.

Consensus therefore assumes the down payment lands in December. A slip into January would leave FY26 FCF sharply below expectations, with no change to the underlying business.

6. Risks

- **Political and procurement timing.** Illustrated by the F126 frigate cancellation, which led to a cut in FY26 sales guidance.
- **Concentration.** Heavy reliance on Germany, a single customer and a monopsony buyer whose pricing power should grow over time.
- **Technological displacement.** Low-cost drones and software-native strike systems could partially displace heavy land platforms over the long term.
- **Consolidation scope.** JV structures (Artec, Leonardo) dilute consolidated revenue and/or net income.

7. Milestones & catalysts to monitor

Date	Catalyst	What to watch
Nov 5, 2026	Q3 2026 results	OFCF trajectory and inventory unwind
Dec 9, 2026	Arminius Bundestag vote, then signing and >€3bn down payment	Decisive for FY26 FCF versus consensus
Year-end 2026	Year-end backlog	Versus the €100bn mark
TBD	CapEx update for 2027–28	2026 guidance already cut from ~16% to 8–9% of sales
Ongoing	Ukraine ceasefire / peace-negotiation progress	Primary downside risk for the sector; conversely, sharp geopolitical deterioration (e.g. new armed conflicts) would likely support multiples

Conclusion

Rheinmetall offers unmatched exposure to European rearmament, and the recent de-rating has brought outer-year multiples below some peers (e.g. Leonardo).

At current levels, however, the investment case rests less on demand than on delivery: backlog conversion, cash timing around Arminius, and a geopolitical backdrop that sustains urgency.

Investors lacking conviction on either execution or a prolonged conflict may find the risk/reward less compelling at current levels.